II

While I was very proud of the Bank, there was room for improvement. We embarked on a serious internal reorganization, intended to streamline the organization. We also revamped the performance-evaluation system, and worked to improve the skill-assessment and skill-building processes. All these changes were designed by senior management, without the involvement of outside consultants, so that the organization would own the changes. There were no public speeches on all this, but some of this did become public: Every year-end, I wrote a letter to our staff. While this was meant to be an internal communication, the following letter was leaked piece-meal to the press (reflecting the adage that nothing the RBI Governor says or writes is secret). Unfortunately, what leaked out were primarily my reflections on the scope for improvement (suggesting that was newsworthy) and not my sense of what was working well. I reproduce it in its entirety because it is already in the public domain.

Year-end Letter to RBI Staff, 31 December 2015

Dear Colleagues:

I wish all of you and your loved ones a very happy, healthy, and fulfilling New Year. I hope you spent some time with your families and friends in the last week of the year.

The last year has been full of actions and accomplishments by our colleagues. I will not catalogue them here – I trust you have followed the developments in the newspapers, and will read an overall detailed view in our annual report. I am confident that based on the compliments I hear from the public about our staff's professionalism and integrity, our ability to continue recruiting the highest quality talent into our staff will be maintained. I continue to be impressed by the dedication and capabilities of many of our staff – most recently, a team of regulators and supervisors that has worked tirelessly over the